

HR TRAINING

MODULE 3**Compensation and Benefits****STUDENT WORKBOOK***100 Practice Exercises — Written Response, Multiple Choice, and True/False*

A Traction Outsourcing Limited HR Training Resource

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Module 3: Compensation and Benefits — Workbook

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How to Use This Workbook

This workbook accompanies Module 3: Compensation and Benefits and contains 100 exercises organized into three parts. Work through each part in order, or use individual exercises to review a specific section of the module. Exercises are grouped by type, and within each type they follow the same section order as the module.

Type A — Written Response (20 exercises, A1–A20)

Each item presents a question, statement, or workplace scenario drawn from the module. Write your answer in the ruled space provided, or on a separate sheet if you need more room. These exercises have no single correct wording — they are graded by your facilitator against the concepts covered in the module.

Type B — Multiple Choice (40 exercises, B1–B40)

Each item presents a question or scenario with four possible answers (A–D). Mark the box beside the one best answer. Check your work against the Multiple Choice Answer Key at the back of this workbook.

Type C — True/False (40 exercises, C1–C40)

Each item presents a statement drawn from the module. Mark whether the statement is True or False. Check your work against the True/False Answer Key at the back of this workbook.

Exercise Breakdown by Module Section

Module Section	Type A	Type B	Type C	Total
Compensation and Benefits Overview	1	3	3	7
Job Evaluation	2	4	4	10
Topic 1: Applicable Laws and Regulations Related to Compensation and Benefits	2	4	4	10
Topic 2: Wage Programs and Structures	2	4	4	10
Topic 3: Total Rewards	2	4	4	10
Rewards: Their Types and How to Work With Them	2	4	4	10
Topic 4: Benefit Programs	2	4	4	10
Topic 5: Payroll Terminology	2	4	4	10
Topic 6: Data Collection for Salary and Benefits Surveys	2	3	3	8
Topic 7: Insurance Claims, Filing and Processing Requirements	2	3	3	8
Topic 8: Work-Life Balance Practices	1	3	3	7

Module Section	Type A	Type B	Type C	Total
Total	20	40	40	100

Part I — Written Response Exercises (A1–A20)

Read each scenario, statement, or question carefully and write your response in the space provided.

Compensation and Benefits Overview

A1. Explain the difference between compensation and benefits as defined in the module. Then describe two factors organizations must consider when determining an employee's overall pay.

Your response:

Job Evaluation

A2. List two objectives of job evaluation described in the module and explain how job evaluation helps an organization achieve one of them.

Your response:

A3. Compare the Point-factor method and the Job Ranking Method of job evaluation, including one advantage and one disadvantage of each, per the module's job evaluation methods table.

Your response:

Topic 1: Applicable Laws and Regulations Related to Compensation and Benefits

A4. Name two of the general topics that compensation and benefits laws and regulations typically address, per the module. Then give one specific example of a law mentioned for a named country and explain what it covers.

Your response:

A5. Explain why collective bargaining agreements and company policies matter when determining compensation and benefits, per the module. Then explain why employers must stay up to date on changes in the law.

Your response:

Topic 2: Wage Programs and Structures

A6. Explain the difference between basic pay and variable pay as described in the module, giving one example of each.

Your response:

A7. Describe two components of a payroll program (for example, pay ranges, pay grades, performance appraisal, bonuses, or commissions) and explain how an organization uses each one.

Your response:

Topic 3: Total Rewards

A8. List three components of a total rewards system per the module, and explain the overall goal of implementing a total rewards system.

Your response:

A9. Describe the five steps the module recommends for developing a total rewards strategy, and explain why monitoring and evaluating the strategy regularly is important.

Your response:

Rewards: Their Types and How to Work With Them

A10. Compare merit pay and sales commissions as types of incentive pay, including one implementation consideration for each, per the module.

Your response:

A11. Explain one advantage and one disadvantage of piecework as an incentive program, per the module. Then describe one consideration an organization should take into account when implementing a piece-rate program.

Your response:

Topic 4: Benefit Programs

A12. List two types of benefit programs described in the module and explain what each type provides to employees.

Your response:

A13. Describe what benefits administration involves, per the module, and explain why some companies choose to outsource these tasks.

Your response:

Topic 5: Payroll Terminology

A14. Explain the difference between gross pay and net pay as defined in the module.

Your response:

A15. Describe what paid time off (PTO) is per the module, and explain how it differs from vacation and from other types of leave.

Your response:

Topic 6: Data Collection for Salary and Benefits Surveys

A16. Explain the difference between primary and secondary data collection methods for salary and benefits surveys, giving one example of each, per the module.

Your response:

A17. List the four components of a data collection plan described in the module, and explain why defining clear goals before starting data collection matters.

Your response:

Topic 7: Insurance Claims, Filing and Processing Requirements

A18. Describe the steps involved in submitting and processing an insurance claim, per the module, from notifying the insurer through to payment or denial.

Your response:

A19. List two types of insurance claims that HR professionals handle on behalf of employees, per the module, and explain what each type covers.

Your response:

Topic 8: Work-Life Balance Practices

A20. Explain the difference between individual and organizational work-life balance practices as described in the module, giving one example of each.

Your response:

Part II — Multiple Choice Exercises (B1–B40)

Mark the box beside the one best answer for each item.

Compensation and Benefits Overview

B1. According to the module, compensation refers to:

- ☐ **A)** Non-monetary rewards such as health insurance and paid time off
- ☐ **B)** Financial rewards employees receive for their work, such as salary, bonuses, and commissions
- ☐ **C)** Only the base salary paid to an employee
- ☐ **D)** Training and development opportunities

B2. Which of the following is the first step in the compensation and benefits management process described in the module?

- ☐ **A)** Conduct compensation and benefits analysis
- ☐ **B)** Design a compensation and benefits program
- ☐ **C)** Determine compensation and benefits objectives for the organization
- ☐ **D)** Monitor and evaluate the program

B3. Per the module's guidance on communicating compensation and benefits, employers should:

- ☐ **A)** Use technical jargon to appear professional
- ☐ **B)** Communicate only during enrollment periods
- ☐ **C)** Use clear, simple language and multiple communication channels
- ☐ **D)** Limit communication to written memos only

Job Evaluation

B4. Job evaluation is best described in the module as:

- ☐ **A)** A method for scheduling employee shifts
- ☐ **B)** A structured approach to evaluating the responsibilities and requirements of jobs to determine relative worth
- ☐ **C)** A performance review conducted annually
- ☐ **D)** A recruitment screening tool

B5. Which job evaluation method groups jobs into pre-defined categories based on similarities in skills, responsibilities, and working conditions?

- ☐ **A)** Job Ranking Method
- ☐ **B)** Job Classification Method
- ☐ **C)** Factor-comparison method
- ☐ **D)** Point-factor method

B6. Per the module's job evaluation methods table, a key disadvantage of the Ranking Method is that it is:

- ☐ **A)** Too time-consuming to implement
- ☐ **B)** Subjective and may not accurately reflect the relative value of jobs

- ☐ C) Too rigid to accommodate all job types
- ☐ D) Difficult for employees to understand

B7. Which of the following is listed in the module as an objective of job evaluation?

- ☐ A) Fair and equitable compensation
- ☐ B) Reducing office space costs
- ☐ C) Increasing marketing budgets
- ☐ D) Standardizing office hours

Topic 1: Applicable Laws and Regulations Related to Compensation and Benefits

B8. According to the module, laws and regulations on compensation and benefits typically address all of the following EXCEPT:

- ☐ A) Monetary and non-monetary entitlement
- ☐ B) Wage and method of calculating working hours
- ☐ C) Office interior design standards
- ☐ D) Tax treatment

B9. Which law is cited in the module as setting minimum wages, overtime pay, and other wage and working-hours requirements?

- ☐ A) Family and medical leave laws
- ☐ B) Fair Labor Standards Act
- ☐ C) Equal pay laws
- ☐ D) Employee Retirement Income Security Act

B10. In the module's example, which law establishes the social insurance system in the Kingdom of Saudi Arabia?

- ☐ A) Labor Law in the Kingdom of Saudi Arabia
- ☐ B) Social Insurance System
- ☐ C) Labor Protection Regulation
- ☐ D) Minimum Wage Decision

B11. Per the module, if an employer's employees are represented by a union, compensation and benefits are governed by:

- ☐ A) The company's marketing plan
- ☐ B) The collective bargaining agreement
- ☐ C) Industry press releases
- ☐ D) Employee social media polls

Topic 2: Wage Programs and Structures

B12. Per the module, variable pay is:

- ☐ A) A fixed amount paid every pay period regardless of performance
- ☐ B) Linked to productivity rather than time, such as bonuses or commissions
- ☐ C) Only applicable to executives

- ☐ **D)** A form of non-cash benefit

B13. Which salary structure type is based on the current price of similar jobs in the same geographic area, per the module?

- ☐ **A)** Traditional Salary Structure
☐ **B)** Market-based salary structure
☐ **C)** Skills-based salary structure
☐ **D)** Knowledge-based salary structure

B14. In a payroll program, the range of possible wages for a specific job grade — from minimum to maximum — is called, per the module:

- ☐ **A)** Pay grade
☐ **B)** Pay range
☐ **C)** Performance appraisal
☐ **D)** Commission

B15. Per the module, which of the following is NOT listed as a step in designing a program to restructure salaries?

- ☐ **A)** Conduct a salary analysis
☐ **B)** Design a new salary structure
☐ **C)** Eliminate all employee benefits
☐ **D)** Communicate and consult with stakeholders

Topic 3: Total Rewards

B16. Which of the following is NOT a component of a total rewards system, per the module?

- ☐ **A)** Performance reviews
☐ **B)** Basic salary
☐ **C)** Rewards and incentives
☐ **D)** Stock options

B17. Which of the following is NOT a type of variable pay, per the module?

- ☐ **A)** Bonus
☐ **B)** Basic salary
☐ **C)** Commission
☐ **D)** All of the above

B18. What is the purpose of merit bonuses, per the module?

- ☐ **A)** Adjust salaries for inflation
☐ **B)** Align salaries with market prices
☐ **C)** Reward employees for their performance
☐ **D)** Motivate employees to stay with the company

B19. What is the purpose of the pay scale, per the module?

- ☐ **A)** Ensure that employees receive fair wages
☐ **B)** Facilitate the preparation of the salary budget

- ☐ C) Facilitate salary comparison across different departments
- ☐ D) All of the above

Rewards: Their Types and How to Work With Them

B20. Per the module, three common types of incentive pay are merit pay, piecework, and:

- ☐ A) Profit sharing
- ☐ B) Sales commissions
- ☐ C) Stock options
- ☐ D) Retirement matching

B21. Per the module, piecework is most commonly used in industries with:

- ☐ A) A high volume of recurring work
- ☐ B) Very few repetitive tasks
- ☐ C) No performance measurement
- ☐ D) Exclusively remote employees

B22. Per the module's comparison table, sales commission payment is based on:

- ☐ A) Meeting or exceeding expectations
- ☐ B) The output produced
- ☐ C) Sales achieved
- ☐ D) Seniority

B23. Which of the following is listed in the module as a potential disadvantage of incentive/rewards programs?

- ☐ A) Increased psychological pressure
- ☐ B) Guaranteed salary increases
- ☐ C) Reduced sales
- ☐ D) Elimination of performance measurement

Topic 4: Benefit Programs

B24. Per the module, which of the following is a type of benefits program?

- ☐ A) Health and welfare
- ☐ B) Retirement plans
- ☐ C) Paid time off
- ☐ D) All of the above

B25. Benefits administration, as described in the module, includes all of the following EXCEPT:

- ☐ A) Selecting and registering providers
- ☐ B) Working on claims and reimbursements
- ☐ C) Communicating with employees about benefit programs
- ☐ D) Setting the organization's marketing strategy

B26. Per the module, why do many companies choose to outsource benefits administration?

- ☐ **A)** Because it is a very complex and time-consuming task
- ☐ **B)** Because it is required by law in every country
- ☐ **C)** Because employees prefer not to have any benefits
- ☐ **D)** Because it eliminates the need for compliance

B27. Which of the following is listed in the module as a recent trend impacting benefits programs?

- ☐ **A)** Rising consumer behavior
- ☐ **B)** Focus on health and wellness programs
- ☐ **C)** Increased use of technology
- ☐ **D)** All of the above

Topic 5: Payroll Terminology

B28. Per the module, gross pay is:

- ☐ **A)** The amount an employee receives after all deductions
- ☐ **B)** The amount an employee earns before any deductions
- ☐ **C)** Only the overtime portion of pay
- ☐ **D)** The employer's total payroll tax liability

B29. Per the module, the overtime rate is usually:

- ☐ **A)** Lower than the regular wage
- ☐ **B)** The same as the regular wage
- ☐ **C)** Higher than the regular wage, often 1.5 times the regular rate
- ☐ **D)** Determined solely by the employee

B30. Which of the following is described in the module as amounts deducted from an employee's salary before it is issued, such as taxes and insurance premiums?

- ☐ **A)** Gross pay
- ☐ **B)** Deductions
- ☐ **C)** Net pay
- ☐ **D)** Overtime payment

B31. Per the module, which technology tracks employee hours and can be integrated with payroll software to automate processing?

- ☐ **A)** HRIS software
- ☐ **B)** Time and attendance systems
- ☐ **C)** Payroll software
- ☐ **D)** Applicant tracking systems

Topic 6: Data Collection for Salary and Benefits Surveys

B32. Per the module, which of the following best describes primary data collection for salary and benefits surveys?

- ☐ **A)** Collecting data from publicly available government reports

- ☐ **B)** Collecting data directly from employees or other sources for a specific study
- ☐ **C)** Reviewing industry association publications only
- ☐ **D)** Relying solely on past survey results

B33. Which of the following is listed in the module as a method of collecting primary data?

- ☐ **A)** Government reports
- ☐ **B)** Industry publications
- ☐ **C)** Employee surveys
- ☐ **D)** Professional associations

B34. Per the module, a data collection plan should include the data collection method, the sample size, the data collection tools, and:

- ☐ **A)** The company's annual revenue
- ☐ **B)** A time table
- ☐ **C)** The CEO's approval signature
- ☐ **D)** A list of competitors

Topic 7: Insurance Claims, Filing and Processing Requirements

B35. Per the module, the first step in filing an insurance claim is to:

- ☐ **A)** Submit all documents to the insurance company
- ☐ **B)** Notify the insurance company of the event
- ☐ **C)** Wait for a claims adjuster to contact the employee
- ☐ **D)** File a lawsuit against the insurance company

B36. Which of the following is listed in the module as a type of insurance claim HR professionals handle on behalf of employees?

- ☐ **A)** Workers' Compensation Claims
- ☐ **B)** Disability Benefit Claims
- ☐ **C)** Health Insurance Claims
- ☐ **D)** All of the above

B37. Per the module's tips for submitting an insurance claim successfully, employees should:

- ☐ **A)** Delay submission until year-end
- ☐ **B)** Submit the claim as soon as possible and stay organized
- ☐ **C)** Avoid providing documentation
- ☐ **D)** Submit claims only through a lawyer

Topic 8: Work-Life Balance Practices

B38. Per the module, work-life balance practices can be divided into individual practices and:

- ☐ **A)** Organizational practices
- ☐ **B)** Government practices
- ☐ **C)** Customer practices
- ☐ **D)** Shareholder practices

B39. Which of the following is listed in the module as an example of a flexible work arrangement?

- ☐ **A)** Telecommuting
- ☐ **B)** Flexible working hours
- ☐ **C)** Sabbatical leaves
- ☐ **D)** All of the above

B40. Per the module, which of the following is a benefit of work-life balance for companies?

- ☐ **A)** Increased employee turnover
- ☐ **B)** Lower employee turnover rate
- ☐ **C)** Reduced company reputation
- ☐ **D)** Decreased employee morale

Part III — True/False Exercises (C1–C40)

Mark whether each statement is True or False.

Compensation and Benefits Overview

C1. Compensation and benefits management aims to attract, retain, and motivate employees, per the module.

☐ True ☐ False

C2. Per the module, benefits are monetary rewards paid directly as part of an employee's salary.

☐ True ☐ False

C3. Per the module, HR's role in compensation and benefits includes ensuring compliance with labor laws and regulations.

☐ True ☐ False

Job Evaluation

C4. Job evaluation determines the relative worth of different jobs within an organization, per the module.

☐ True ☐ False

C5. The Point-factor method assigns a point value to each pre-determined factor used to evaluate a job, per the module.

☐ True ☐ False

C6. Per the module's job evaluation methods table, the Job Ranking Method is described as more objective and systematic than the factor-comparison method.

☐ True ☐ False

C7. Per the module, job evaluation has no impact on career development or succession planning.

☐ True ☐ False

Topic 1: Applicable Laws and Regulations Related to Compensation and Benefits

C8. Per the module, laws and regulations governing compensation and benefits are identical in every country.

☐ True ☐ False

C9. The Employee Retirement Income Security Act governs retirement plans, per the module.

☐ True ☐ False

C10. Per the module, employers are not required to comply with equal pay laws when setting wages.

☐ True ☐ False

C11. Company policies on compensation and benefits must be clear and consistent with applicable laws and regulations, per the module.

☐ True ☐ False

Topic 2: Wage Programs and Structures

C12. Basic pay is the fixed amount an employee receives each pay period, per the module.

☐ True ☐ False

C13. Per the module, a skills-based salary structure depends only on the employee's job grade and length of experience.

☐ True ☐ False

C14. Pay grades group jobs with similar levels of responsibility and pay into ranges, per the module.

☐ True ☐ False

C15. Per the module, payroll restructuring should be implemented without communicating or consulting with stakeholders.

☐ True ☐ False

Topic 3: Total Rewards

C16. Per the module, a total rewards system includes only base salary and wages.

☐ True ☐ False

C17. The goal of a total rewards system, per the module, is to attract and retain the best employees.

☐ True ☐ False

C18. Stock options give employees the right to buy company shares at a predetermined price, per the module.

☐ True ☐ False

C19. Per the module, a total rewards strategy should be designed without considering the organization's budget.

☐ True ☐ False

Rewards: Their Types and How to Work With Them

C20. Merit pay is an increase in an employee's basic salary based on performance, per the module.

☐ True ☐ False

C21. Per the module, piecework never leads to quality problems.

☐ True ☐ False

C22. Sales commissions are commonly used in industries such as real estate, car sales, and insurance, per the module.

- ☐ True ☐ False

C23. Per the module, incentive programs have no potential disadvantages.

- ☐ True ☐ False

Topic 4: Benefit Programs

C24. Retirement plans are listed in the module as a type of benefits program.

- ☐ True ☐ False

C25. Per the module, benefits administration is always a simple, quick task for HR teams.

- ☐ True ☐ False

C26. Employers must comply with government laws regulating benefit programs, per the module.

- ☐ True ☐ False

C27. Per the module, use of technology is one of the recent trends impacting benefits programs.

- ☐ True ☐ False

Topic 5: Payroll Terminology

C28. Net pay is the amount an employee receives after all deductions are taken from gross pay, per the module.

- ☐ True ☐ False

C29. Per the module, overtime pay is never mandated by law.

- ☐ True ☐ False

C30. Payroll taxes are deducted from gross pay to finance programs such as social security and unemployment insurance, per the module.

- ☐ True ☐ False

C31. HRIS software stores employee data such as contact information, salary information, and benefits enrollment, per the module.

- ☐ True ☐ False

Topic 6: Data Collection for Salary and Benefits Surveys

C32. Per the module, data collected from salary and benefits surveys can be used to benchmark a company's pay against competitors in the same industry and location.

- ☐ True ☐ False

C33. Per the module, there are two main methods for collecting data for salary and benefits surveys: primary and secondary data collection.

☐ True ☐ False

C34. Per the module, primary data collection methods include government reports and industry association publications.

☐ True ☐ False

Topic 7: Insurance Claims, Filing and Processing Requirements

C35. Once an insurance company is notified of a claim, it appoints a claims adjuster to review the claim, per the module.

☐ True ☐ False

C36. Per the module, an employee whose insurance claim is denied has no right to appeal.

☐ True ☐ False

C37. Workers' compensation claims are handled for employees injured or who become ill while at work, per the module.

☐ True ☐ False

Topic 8: Work-Life Balance Practices

C38. Per the module, telecommuting allows employees to work from home or another convenient location regularly.

☐ True ☐ False

C39. Per the module, delegating tasks is described as an individual practice for achieving work-life balance.

☐ True ☐ False

C40. Per the module, companies perceived as supportive of work-life balance are less likely to attract top talent.

☐ True ☐ False

Answer Key

Type A written-response exercises have no single correct wording and are not included below; your facilitator will assess these against the concepts covered in the module.

Multiple Choice Answer Key (B1–B40)

B1 B	B2 C	B3 C	B4 B	B5 B
B6 B	B7 A	B8 C	B9 B	B10 B
B11 B	B12 B	B13 B	B14 B	B15 C
B16 A	B17 B	B18 C	B19 D	B20 B
B21 A	B22 C	B23 A	B24 D	B25 D
B26 A	B27 D	B28 B	B29 C	B30 B
B31 B	B32 B	B33 C	B34 B	B35 B
B36 D	B37 B	B38 A	B39 D	B40 B

True/False Answer Key (C1–C40)

C1 T	C2 F	C3 T	C4 T	C5 T
C6 F	C7 F	C8 F	C9 T	C10 F
C11 T	C12 T	C13 F	C14 T	C15 F
C16 F	C17 T	C18 T	C19 F	C20 T
C21 F	C22 T	C23 F	C24 T	C25 F
C26 T	C27 T	C28 T	C29 F	C30 T
C31 T	C32 T	C33 T	C34 F	C35 T
C36 F	C37 T	C38 T	C39 T	C40 F